

advice for his IRA. With the help of a professional financial advisor, Albert estimates that to properly finance the lifestyle he desires in retirement, he requires an additional inflation-adjusted income of approximately \$9,600 per year; this is in addition to his \$45,000 pension. In the language of retirement income planning, this translates into an inflation-adjusted withdrawal rate of 4.8% of his nest egg. Thus, given Albert's desired withdrawal rate of 4.8%, he faces an economic trade-off, which is represented by the top curve in Figure 10.4.

His choices are as follows. On the one hand, he can select a product allocation that will generate a nearly 100% probability of sustainability. This is the point on the line furthest along the horizontal RSQ axis. However notice that this point also corresponds to the lowest expected discounted bequest value of \$28 per initial \$100 (or \$56,000 of his \$200,000 nest egg). On the other hand, he can select the strategy that maximizes his EDB on the line, allowing him to leave an EDB of \$34 per initial \$100 (or \$68,000 of his \$200,000 nest egg) to his estate. However, this would require a sacrifice in the sustainability quotient. Notice that this is the point that has the lowest probability of success on the curve: 86%. Albert's true economic trade-off at retirement is between securing his income with the highest possible chance of success or taking some risk that he might have to reduce his standard of living in the future. The so-called payoff from the risk he takes is that his estate goals and bequest motives are achieved.

The choice of where to "sit" on the frontier traced out in Figure 10.4 is entirely up to Albert. In the end, given the heavy weighting on his estate goal, Albert decides to position himself on the point at which the estate goal is maximized and the sustainability is minimized. Once again, this is his choice. In the world of product allocation, this translates into the following allocation. The 88% bulk of his IRA is invested in a mutual fund or managed account and the desired income is generated using a systematic withdrawal plan (SWiP). The balance of 12% (that is, \$24,000) is used to purchase a variable annuity with a GLiB rider. This particular strategy will allow him to leave an expected discounted bequest of \$68,000 in present value terms. The probability of meeting his spending goal of \$9,600 per year, that is, his RSQ, is approximately 86%. Likewise, no amount is allotted to the LPIA category. Recall from the PGA matrix that the product received a score of